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Report Highlights:

Soybean production in marketing year (MY) 2024/2025 is estimated at 12.9 million metric tons (MMT) on favorable conditions and slightly higher area. MY 2024/2025 soybean production is estimated higher at 9.4 MMT due to forecast record soybean production and firm domestic and international demand. Soybean oil imports for MY 2024/2025 are projected at 3.7 MMT.

SOYBEAN OILSEED UPDATE

Table 1: Oilseed, Soybean oilseed, Production, Supply and Distribution

Oilseed, Soybean	2022/2023		2023/2024		2024/2025	
Market Year Begins	Oct 2022		Oct 2023		Oct 2024	
India	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	13000	13000	13000	13000	13000	13100
Area Harvested (1000 HA)	13084	13084	13200	13000	13500	13200
Beginning Stocks (1000 MT)	1493	1493	1584	1584	909	1564
Production (1000 MT)	12411	12411	11875	12750	12800	12850
MY Imports (1000 MT)	702	702	700	750	500	800
MY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
MY Imp. from EU (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	14606	14606	14159	15084	14209	15214
MY Exports (1000 MT)	22	22	50	20	50	30
MY Exp. to EU (1000 MT)	0	1	0	0	0	0
Crush (1000 MT)	10300	10300	11300	11600	11000	11700
Food Use Dom. Cons. (1000 MT)	800	800	700	700	775	775
Feed Waste Dom. Cons. (1000 MT)	1900	1900	1200	1200	1400	1400
Total Dom. Cons. (1000 MT)	13000	13000	13200	13500	13175	13875
Ending Stocks (1000 MT)	1584	1584	909	1564	984	1309
Total Distribution (1000 MT)	14606	14606	14159	15084	14209	15214
CY Imports (1000 MT)	350	725	500	800	500	900
CY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
CY Exports (1000 MT)	25	22	50	10	50	30
CY Exp. to U.S. (1000 MT)	10	0	10	10	10	10
Yield (MT/HA)	0.9486	0.9486	0.8996	0.9808	0.9481	0.9735
(1000 HA) ,(1000 MT) ,(MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Data source for oilseed table: OAA New Delhi historical data series. Post forecast for 2024/25; 2022/23 and 2023/24 are estimates.

PRODUCTION:

MY 2024/2025 and 2023/2024 Soybean Production Estimates Raised Marginally: Post slightly revised its MY 2024/2025 forecast for soybean oilseed production to 12.9 MMT, based on a favorable 2024 monsoon and normal weather conditions. The early monsoon supported soybean sowing and an increase in the planting area by almost 1 percent for MY 2024/2025, compared to MY 2023/2024. Post field travels through soybean growing areas in July 2024 revealed a crop progressing well under adequate soil moisture conditions. **See Exhibit A & B.**

Exhibit A: July 2024 Post Crop Travel - Soybean Growing Area



Exhibit B: July 2024 Post Crop Travel - Soybean Growing Area



Additionally, timely planting, favorable soil moisture and good weather conditions will support yield prospects. Field sources suggest farmers are opting for better quality seeds and higher seed replacement which will support the productivity for MY 2024/2025. Consequently, MY 2024/2025 yields are forecast slightly higher at 0.98 MT per hectare. However, heavy rainfall in

the later part of August and September (*harvesting time*) in western and central India could potentially lower the forecasted production. Local field experts are expressing concerns that heavy rainfall may result in waterlogging in low-lying areas which can result in biotic and abiotic stress impacting the yield.

Field sources also highlighted a slight increase in soybean acreage from other *kharif* crops in Maharashtra, Karnataka, and Andhra Pradesh due to the timely arrival of monsoon rains and better returns than other crops. However, the soybean area has declined in Madhya Pradesh as farmers shifted to corn and pulses for better price expectations.

Post is also revising the MY 2023/2024 estimates for soybean oilseed production to 12.8 MMT, up by 2.7 percent compared to the previous MY (**See Table 1**). Despite the late planting of the crop due to the delayed monsoon, there was sufficient rainfall during the third week of June which provided optimal soil moisture conditions from July 2023 to September 2023 (harvesting time). Field sources report high yields due to favorable weather conditions at the vegetative growth to harvest stage with low incidences of pest and disease. The production estimate for MY 2023/2024 is supported by market conditions with stable prices despite strong demand and export demand for soymeal.

CONSUMPTION:

MY 2023/2024 Soybean Oilseed Crushing Increased: Based on higher MY 2023/2024 soybean production, post has raised the soybean crushing to 11.6 MMT by 12 percent compared to the previous year. For MY 2024/2025, crushing is forecasted at 11.7 MMT driven by a strong export demand for soybean meal.

STOCKS:

MY 2024/2025 and MY2023/2024 Soybean Oilseed Ending Stock Revised: Post revised the ending stock for MY 2024/2025 to 1.3 MMT on expected higher crushing. Post field travels suggest farmers are holding onto their soybean oilseed stocks in anticipation of higher end-season prices, which have resulted in higher ending stocks in the last few years. Similarly, post revised MY 2023/2024 soybean oilseed ending stock to 1.5 MMT, based on higher estimated domestic production.

SOYBEAN OIL UPDATE

Table 2: Oil, Soybean, Production, Supply and Distribution

Oil, Soybean	2022/2023		2023/2024		2024/2025	
Market Year Begins	Oct 2022		Oct 2023		Oct 2024	
India	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	10300	10300	11300	11600	11000	11700
Extr. Rate, 999.9999 (PERCENT)	0.18	0.18	0.18	0.1853	0.18	0.188
Beginning Stocks (1000 MT)	186	186	597	597	416	329
Production (1000 MT)	1854	1854	2034	2150	1980	2200
MY Imports (1000 MT)	3968	3968	2950	3050	3500	3700
MY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
MY Imp. from EU (1000 MT)	57	226	150	250	150	300
Total Supply (1000 MT)	6008	6008	5581	5797	5896	6229
MY Exports (1000 MT)	11	11	15	18	15	20
MY Exp. to EU (1000 MT)	0	0	0	0	0	0
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	5400	5400	5150	5450	5600	5600
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	5400	5400	5150	5450	5600	5600
Ending Stocks (1000 MT)	597	597	416	329	281	609
Total Distribution (1000 MT)	6008	6008	5581	5797	5896	6229
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Data source for oil table: OAA New Delhi historical data series. Post forecast for 2024/25; 2022/23 and 2023/24 are estimates.

PRODUCTION

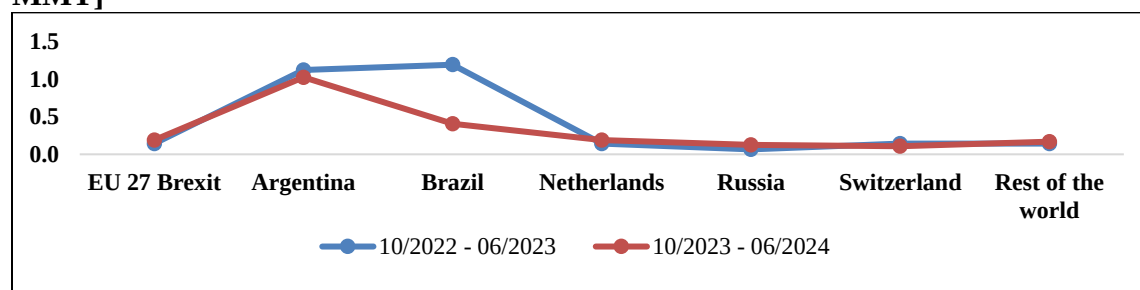
MY 2024/2025 and MY 2023/2024 and Soybean Oil Production Revised: Post estimates MY 2024/2025 soybean oil production at 2.2 MMT as strong domestic demand for vegetable oil is expected to raise the ‘crush-to-oil’ availability. Post also forecasts MY 2023/2024 soybean oil production at 2.15 MMT which is 16 percent more than the previous year due to an earlier than anticipated domestic production.

TRADE

MY 2024/2025 and 2023/2024 Soybean Oil Imports Revised Higher: Post raised its forecast for MY 2024/2025 soybean oil imports to 3.7 due to expectations of lower international soybean oil prices owing to sufficient global soybean production. Yet, trade sources are concerned that the ongoing Black Sea conflict can affect the logistics and potentially reduce the import forecast.

For MY 2023/2024, post reduced soybean oil imports to 3 MMT based on the current pace of imports. India imported 2.3 MMT of soybean oil from October through July 2024, compared to 3.2 MMT during the corresponding period of the previous year. Imports have been consistently less from October to March 2024 (**Table 2**). Relatively tight global soy oil supplies limited India's soy oil imports until March 2024. However, the import of soybean oil increased from April onwards and is expected to remain steady through the end of MY 2023/2024.

Figure 1: India: Soybean Oil Import MY 2022/2023 and MY 2023/2024 (Till June 2024) [In MMT]



Source: Trade Data Monitor and FAS Delhi Research

STOCKS:

MY 2023/2024 and MY 2024/2025 Soybean Oil Ending Stock Revised: Considering the adequate global supply of soybean oil and a good domestic production year, post forecasts MY 2024/2025 soybean oil ending stock at 609 thousand MT. Post also estimates MY 2023/2024 soybean oil ending stock at 329 thousand MT reflecting the current import trends.

SOYBEAN MEAL UPDATE

Table 3: Meal, Soybean, Production, Supply and Distribution

Meal, Soybean	2022/2023		2023/2024		2024/2025	
Market Year Begins	Oct 2022		Oct 2023		Oct 2024	
India	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush (1000 MT)	10300	10300	11300	11600	11000	11700
Extr. Rate, 999.9999 (PERCENT)	0.8	0.8	0.8	0.8	0.8	0.8
Beginning Stocks (1000 MT)	422	422	195	170	395	450
Production (1000 MT)	8240	8240	9040	9280	8800	9360
MY Imports (1000 MT)	29	29	50	50	50	50
MY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
MY Imp. from EU (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	8691	8691	9285	9500	9245	9860
MY Exports (1000 MT)	1871	1871	1700	2100	1200	2200
MY Exp. to EU (1000 MT)	37	40	200	200	200	200
Industrial Dom. Cons. (1000 MT)	0	0	0	0	0	0
Food Use Dom. Cons. (1000 MT)	400	425	450	450	475	475
Feed Waste Dom. Cons. (1000 MT)	6225	6225	6740	6500	7150	6800
Total Dom. Cons. (1000 MT)	6625	6650	7190	6950	7625	7275
Ending Stocks (1000 MT)	195	170	395	450	420	385
Total Distribution (1000 MT)	8691	8691	9285	9500	9245	9860
(1000 MT) ,(PERCENT)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Data source for meal table: OAA New Delhi historical data series. Post forecast for 2024/25; 2022/23 and 2023/2024 are estimates.

PRODUCTION:

MY 2024/2025 Soymeal Production Revised Higher: Soymeal production for 2024/2025 is forecasted at 9.4 MMT, higher than the current season, considering strong demand in domestic and international markets and supported by higher crushing rates. After revising soybean oilseed production and considering the demand for soy meal in the export market, post revised its MY 2023/2024 soymeal production estimate to 9.3 MT which is 12 percent higher compared to the previous year (Table 3).

CONSUMPTION:

MY 2024/2025 and MY 2023/2024 Soybean Meal Feed Waste Domestic Consumption

Revised: Post has forecasted MY 2024/2025 soymeal feed consumption to increase by 4 percent compared to the current MY due to its rising demand with the expansion of the livestock and

poultry industries. The Indian feed market is growing at a considerable rate, which increases the potential of soymeal in the domestic market. However, according to industry sources, unstable soymeal prices and challenges related to supply chain sustainability can impact the forecast. Likewise, post revised India's feed waste domestic consumption for MY 2023/2024 to 6.5 MMT, almost 5 percent higher than the previous year due to its demand in the animal feed market.

TRADE:

MY 2024/2025 Soymeal Export Revised Higher: The forecast for MY 2024/2025 has been increased to 2.2 MMT, marginally higher than the current MY considering a good soybean production year and increased crushing for soymeal due to global demand. Based on competitive pricing of Indian origin soybean versus other origins, post revised MY 2023/2024 soymeal export higher to 2.1 MMT, assuming no significant changes in soybean prices. The price competitiveness of Indian soymeal, enhanced by the reduced supply from Argentina, made Indian soymeal an attractive alternative for global buyers. Exports of soymeal for the current year (until June 2024) is 1.95 MMT. However, as post anticipated, Indian soymeal was quoted at US \$490/MT and Argentinian soymeal at US \$415/MT in February 2024, which slowed down exports from March 2024 onwards (See: [India: Oilseeds and Products Annual](#)).

STOCKS:

MY 2024/2025 and 2023/2024 Soybean Meal Ending Stock Revised: For MY 2024/2025, the ending stock is reduced to 385 thousand MT. This is driven by increased demand for soymeal in the international market due to its price competitiveness which is anticipated to increase the crushing for the current season. Due to a favorable soybean oilseed production year, post estimates soymeal stocks for MY 2023/2024 to increase to 450 thousand MT.

PALM OIL UPDATE

Table 4: Oil, Palm, Production, Supply and Distribution

Oil, Palm	2022/2023		2023/2024		2024/2025	
Market Year Begins	Oct 2022		Oct 2023		Oct 2024	
India	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted (1000 HA)	0	0	0	0	0	0
Area Harvested (1000 HA)	129	129	129	129	129	129
Trees (1000 TREES)	0	0	0	0	0	0
Beginning Stocks (1000 MT)	972	972	2419	2419	2371	2668
Production (1000 MT)	305	305	305	305	305	310
MY Imports (1000 MT)	10045	10045	9000	9600	9600	9600
MY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
MY Imp. from EU (1000 MT)	0	0	0	0	0	0
Total Supply (1000 MT)	11322	11322	11724	12324	12276	12578
MY Exports (1000 MT)	3	3	3	6	3	5
MY Exp. to EU (1000 MT)	0	0	0	0	0	0
Industrial Dom. Cons. (1000 MT)	600	600	650	650	650	650
Food Use Dom. Cons. (1000 MT)	8300	8300	8700	9000	9425	9425
Feed Waste Dom. Cons. (1000 MT)	0	0	0	0	0	0
Total Dom. Cons. (1000 MT)	8900	8900	9350	9650	10075	10075
Ending Stocks (1000 MT)	2419	2419	2371	2668	2198	2498
Total Distribution (1000 MT)	11322	11322	11724	12324	12276	12578
CY Imports (1000 MT)	9348	9348	9200	9200	9000	0
CY Imp. from U.S. (1000 MT)	0	0	0	0	0	0
CY Exports (1000 MT)	3	3	0	4	0	0
CY Exp. to U.S. (1000 MT)	0	0	0	0	0	0
Yield (MT/HA)	2.3643	2.3643	2.3643	2.3643	2.3643	2.4031
(1000 HA) ,(1000 TREES) ,(1000 MT) ,(MT/HA)						
OFFICIAL DATA CAN BE ACCESSED AT: PSD Online Advanced Query						

Data source for meal table: OAA New Delhi historical data series. Post forecast for 2024/25; 2022/23 and 2023/2024 are estimates.

PRODUCTION:

According to FAS contacts, palm plantations are increasing in the coastal areas of the southern part and the north-eastern parts of India. As the gestation period is 7 years, the increase in productivity and the national average yield will be visible only after 5-6 years. Industry contacts are hopeful that India's palm oil production will help to reduce the dependency on imported edible oil. There is a perceived fear that palm plantations may reduce the forest area in India. However, India's land-use regulations and monitoring prohibit the use of forest land for palm cultivation.

CONSUMPTION:

MY 2023/2024 Palm Oil Food Consumption Increased: Post increased India's palm oil consumption for MY 2023/2024 marginally to 9 MMT based on expected higher imports and domestic supplies. To replenish oil stocks, traders import significant discounted palm oil volumes from Malaysia and Indonesia. Additionally, the cheaper price of palm oil makes it lucrative for local food vendors to use it instead of other edible oils.

TRADE:

MY 2023/2024 Palm Oil Import Increased: Post revised India's MY 2023/2024 palm oil imports higher to 9.6 MMT based on the reports of a higher pace of imports in recent months. India's import of palm oil from October 2023 to June 2024 was 1 percent lower compared to the corresponding period of the previous year. However, in July 2024, the import picked up and reached 1.08 MMT, the highest since November 2022.¹ The increased trend is expected to continue until October 2024 as the demand for edible oil during this period increases with the onset of the festival season in India. Indonesia, followed by Malaysia, maintains its position as the major supplier of palm oil. India's palm oil import for MY 2024/2025 remains unchanged at 9.6 MMT.

OTHER UPDATES

The Indian Government Releases 2023/2024 Oilseed Production: On June 4, 2024, [the Ministry of Agriculture and Farmers Welfare \(MoAFW\) published the third advance estimate for the Indian crop year \(ICY\) 2023/2024](#) (July-June). The ministry has estimated oilseed production lower at 39.6 million metric tons (MMT) compared to 41.4 MMT last year. The third advanced estimate for soybean and rapeseed mustard oilseed production were set at 13.1 MMT and 13.2 MMT respectively. The government press release stated that the third advance estimates are based on information from State Agricultural Statistics Authorities (SASAs) verified using other sources. Additionally, the weather forecast, past trends, price changes, and *mandi* arrivals were also considered.

Minimum Support Prices (MSP) for 2024/2025 Kharif Oilseed Crops: On June 19, 2024, MoAFW announced the minimum support price (MSP) for all mandated *kharif*² crops for ICY

¹ "As palm oil shipments surge to 20 month-high, India's edible oil imports up 4.8% in July". [Business Line](#); Published August 14, 2024

² The *kharif* season typically lasts from June to October depending on the region.

2024/2025 which were raised for most crops.³ The Indian government typically announces the annual MSP before the planting season to enable the farmers to make informed planting decision. As seen in previous years, MSPs for oilseeds have been raised higher compared to the cereals (paddy, corn, and other coarse grains) to encourage crop diversification. As expected, the steady market price (**Table 5**) coupled with the June 19 announcement of a higher MSP is likely to support the oilseed planting for ICY 2024/2025.

Table 5. India: Market Price and MSP for *Kharif* Oilseeds [Indian Rupees (INR)/Quintal]

Oilseeds	MY 2022/2023 (Market price)	MY 2023/2024 (Market price)	MY 2024/2025 (MSP percent change versus prior year)
Groundnut (Avg.)	55,500	58,500	67,830 (+6.3%)
Sunflower seed (Avg.)	60,150	64,000	72,800 (+7.6%)
Soybean (Avg.)	47,000-51,000	48,500-53,000	48,920 (+6.3%)

Source: Ministry of Agriculture & Farmers Welfare and FAS New Delhi Research Office

***Kharif* 2024 Monsoon and Planting Update:** The 2024 southwest monsoon arrived and progressed through the southern peninsular region on time in June 2024, which resulted in early *kharif* planting. However, the monsoon stalled in July affecting rainfall in the northern and western parts. The late July rainfall covering the country with above-normal rainfall has offset June’s deficit augmenting soil moisture availability to support the planting of most oilseeds. The Indian Meteorological Department (IMD) forecasts rainfall in August and September to be above normal and will provide adequate moisture to the standing crops. Field sources are concerned that heavy rains and water logging/flooding could adversely affect the standing *kharif* oilseed crops (soybean, peanuts, sunflower, cotton) in some pockets.

With the recovery of the 2024 monsoon, soybean *kharif* planting progressed well in Maharashtra, Telangana, and Madhya Pradesh. On July 8, 2024, MoAFW reported area sown under *kharif* oilseeds increased to 8.03 MHa compared to 5.19 MHa of the previous year (**Table 6**) with the area under soybean and sunflower reported higher while the area under groundnut (peanut) lower compared to the last year.

Table 6. India: Planting of *Kharif* Oilseed Crops in ICY (July/June) in Million Hectares

Crops	Area Sown in ICY 2024/2025	Area Sown in ICY 2023/2024
Groundnut	1.78	2.12
Soybean	6.06	2.88
Sunflower	0.04	0.03

³ “Cabinet approves Minimum Support Prices (MSP) for Kharif Crops for Marketing Season 2024-25”. Press Information Bureau, Release Id: [2026698](#)

Other Oilseeds	0.13	0.15
Oilseeds Total	8.03	5.19

Source: Ministry of Agriculture and Farmers Welfare (MoAFW)

India Edible Oil Imports: MY 2023/2024 imports during October 2023 - July 2024 totaled 12.9 MMT, about 15 percent higher than the corresponding period of last year. Most of it is accounted for by higher imports of crude palm oil and crude soybean oil in July 2024. Vegetable oil imports peaked in the current MY at 1.84 MMT (**Table 7**). The current import trend suggests that by the end of September 2024, MY 2023/2024 edible oil imports will reach at 16.2 MMT, as previously estimated (See: [India: Oilseeds and Products Annual](#)).

Table 7: India: Edible Oil Imports (1000 Metric Tons)

Commodity	Oct-23	Nov-23	Dec-23	Jan-24	Feb-24	Mar-24	Apr-24	May-24	June-24	July-24
Palm Oil (RBD Palmolein, CPO, Crude Palm Kernel Oil)	705	869	894	783	498	485	684	763	786	1081
Crude Soybean Oil	135	150	153	189	173	219	386	324	276	392
Crude Sunflower Oil	154	129	261	220	297	446	235	411	466	367
Total	994	1148	1308	1192	968	1150	1305	1498	1528	1840

Data source: SEA

Sunflower oil imports from Russia and Ukraine picked up from May 2024 onwards (**Table 7**). Low imports during previous months contributed towards an increased sunflower oil retail price in India by 5 percent. Concerns about the tight global supply chain due to ongoing crisis in Ukraine can impact MY 2024/2025 import prospects.

The price of mustard oil has increased due to the Indian cooperatives buying mustard seeds at government MSP bolstering the rapeseed mustard oilseed price.⁴ Farmers are reportedly holding on to their harvest in anticipation of further price increases.

India Oilmeal Exports: Indian soymeal is competitively priced with the ongoing global supply chain challenges. Since then, the export of soymeal has been consistently growing until February 2024. However, the rising domestic price of soymeal and low prices from competing countries of origin slowed down the export of Indian soymeal from March 2024 onwards. The exports of rapeseed meal fluctuated during MY 2023/2024. The exports of peanut meal is considerably lower in MY 2023/2024 than soymeal and rapeseed meal as Indian farmers have shifted from peanut to competing crops like cotton, corn, and pulses in major growing states.

⁴ “Edible oil prices rise 15% in a month”. [Economic Times](#); Published June 11, 2024

Table 8: India: October 2023 to June 2024 Oil Meal Exports in MT

Commodity	Oct 23	Nov 23	Dec 23	Jan 24	Feb 24	Mar 24	Apr 24	May 24	Jun 24	Total
Soybean meal	870,60	263,549	273,394	375,360	347,905	198,928	199,803	144,706	152,351	1,955,996
Rapeseed meal	169,422	93,124	216,942	71,472	144,372	173,589	230,810	133,263	159,447	1,392,441
Peanut meal	1,980	662	0	0	1,025	0	156	1,311	2,009	7,143
Total	171,402	357,335	490,336	446,832	493,302	372,517	430,769	279,280	313,807	3,355,580

Source: SEA

India Might Increase Import Duties on Palm and Soybean oils: The Agriculture Ministry is contemplating increasing import duties on edible oils to safeguard domestic farmers and guarantee they receive MSP for oilseeds.⁵ Presently, the duties are 5.5 percent on crude palm, soybean, and sunflower oils, and 13.75 percent on refined oils. Industry experts caution that the current duty on crude oils might discourage oilseed production. An increase in the import duty could potentially motivate the farmers and mills to invest in more production for “crush-to-oil” to meet the domestic demand for edible oil.

Attachments:

No Attachments

⁵ “India may raise import duties on palm, soyabean oils”. [Business Line](#); Published on August 26, 2024